product better. We brought in a steady flow of customers through our online registration and download process. We treated each day's customers as a brand-new report card to let us know how we were doing. We eventually learned how to change the product's positioning so that customers at least would download it. We were making improvements to the underlying product continuously, shipping bug fixes and new changes daily. However, despite our best efforts, we were able to persuade only a pathetically small number of people to buy the product.

In retrospect, one good decision we made was to set clear revenue targets for those early days. In the first month we intended to make $300 in total revenue, and we did—barely. Many friends and family members were asked (okay, begged). Each month our small revenue targets increased, first to $350 and then to $400. As they rose, our struggles increased. We soon ran out of friends and family; our frustration escalated. We were making the product better every day, yet our customers' behavior remained unchanged: they still wouldn't use it.

Our failure to move the numbers prodded us to accelerate our efforts to bring customers into our office for in-person interviews and usability tests. The quantitative targets created the motivation to engage in qualitative inquiry and guided us in the questions we asked; this is a pattern we'll see throughout this book.

I wish I could say that I was the one to realize our mistake and suggest the solution, but in truth, I was the last to admit the problem. In short, our entire strategic analysis of the market was utterly wrong. We figured this out empirically, through experimentation, rather than through focus groups or market research. Customers could not tell us what they wanted; most, after all, had never heard of 3D avatars. Instead, they revealed the truth through their action or inaction as we struggled to make the product better.

Talking to Customers